



Parshwanath Capital Ventures Fund

SEBI Registered Category III Alternative Investment Fund | Registration No. IN/AIF3/25-26/2108

Fund Manager: CA Deep Dalal | **Sponsor:** Jignesh Shah

IPO ANALYSIS REPORT • DRHP

Jagatjit Agri Engineering Limited

Mainboard • Agricultural implements (tractor-operated and tractor-mounted: seeders, laser levellers, rotavators, straw reapers, briquette machines) • filed 2026-10-01 • lead manager(s): Keynote Financial Services Limited • issue size Rs 341 cr • price band: Not announced • analysed 2026-10-09

CALL

Screen only

CHECKS

0 fail • 7 watch • 7 pass • 0 open

FY26 revenue of Rs 4,139.70 m is 4.3x FY25 mainly because the Company took over two promoter-owned businesses on 01-Apr-2025; on the issuer's own proforma base revenue grew 63.1% and PAT 51.7%, but FY26 operating cash flow was 8.6% of PAT, one customer is 25.2% of revenue and the offer is made under the 75%-QIB route.

Revenue FY26 ₹414 cr CAGR FY24-FY26: 191.1%	PAT FY26 ₹31 cr CAGR FY24-FY26: 254.2%	EBITDA margin 13.5% FY24: 13.6%	Cash conversion (CFO / PAT, 3 yrs) 69.7%
Cash tax rate (3 yrs) 26.1%	P/E at reference (post-issue) 32.9x peer median: 27.6x	Blended value (Neutral) ₹64.2 vs reference: -51.2%	Reference price ₹131.69 Rs 131.69 = lowest listed-peer P/E in the DRHP (Escorts Kubota 23.35x, p. 156) x FY26 basic EPS Rs 5.64 (p. 154). It is our construct for measuring upside, not a price band. For scale: the Oct-2025 allotment to the promoters in the business transfer was Rs 1,547 per Rs 10 share, which is Rs 33.63 per Rs 5 share after the 22:1 bonus and 1:2 split (our arithmetic from pp. 105, 388).

Where to focus

! Watch Cash flow vs profit p. 88

CFO was Rs 124.93 m / 130.15 m / 26.85 m in FY24 / FY25 / FY26. Cumulative CFO is Rs 281.93 m against cumulative PAT of Rs 404.39 m = 69.7% (mixed standalone / consolidated basis). FY26 CFO is 8.6% of FY26 PAT after a Rs 445.46 m inventory build and a Rs 281.35 m rise in other assets; the Rs 104.52 m of tax paid is also in CFO. CFO after interest paid (Rs 96.06 m) and lease payments (Rs 17.85 m) is negative in FY26 (-Rs 87.06 m).

! Watch Related-party capex & subsidiaries pp. 94-95, 129

Related-party purchases Rs 164.91 m in FY26 (6.5% of cost of materials consumed) and sales Rs 69.99 m (1.7% of revenue); balance receivable from Guru Nanak Agriculture Implements Rs 49.09 m = 8.0% of trade receivables. Loans and advances given to KMP at 31-Mar-2026: Jagatjit Singh Rs 45.00 m and Dharam Singh Rs 10.00 m (p. 95). The Rs 716.64 m capex object is on the Dehlon facility, whose land (16.20 acres) is leased from the promoters under a lease with 15% escalation every three years (p. 129). No proceeds go to a subsidiary.

! Watch Customer / supplier / geographic concentration pp. 23, 33, 36

Top customer 25.21% / 21.86% / 19.36% of revenue FY26 / FY25 / FY24 (restated); top-5 40.84%, top-10 50.04%. In FY25 and FY24 the top 'customer' was the promoter's own proprietorship SMW II. On proforma basis top customer 11.59% (FY25). Top-10 suppliers 40.53% FY26 (76.68% FY25, 96.69% FY24); top supplier 7.94% FY26. No long-term agreements with suppliers or customers; distributors 46.16% and dealers 39.92% of FY26 revenue; dealer agreements terminable on 60 days' notice (p. 29). Exports 1.36% of FY26 revenue. Neither the 80% single-name test nor the top-10 test is met.

! Watch Auditor qualifications / changes pp. 47-52

No audit qualification on the financial statements. Rule 11(g) audit-trail remark: the accounting software did not record an audit trail at database level in FY24, FY25 and FY26 (to 31-Dec-2025; enabled January 2026). Risk factor discloses past disqualification of certain promoters / executive directors under Section 164 for directorship of Jagatjit Agro Private Limited, which had not filed its financial statements / annual returns (p. 23). Statutory auditor: Anup Kumar Jain & Co. (FRN 005731N).

! Watch CARO / audit trail p. 52

CARO 2020 Rule 11(g): audit trail feature not available at database level for FY24 and FY25 and, for FY26, until 31-Dec-2025. The issuer states no impact on the financial statements and that the feature was enabled in January 2026.

! Watch Eligibility re-computation pp. 57, 502

Offer is made under Reg 6(2): the issuer does not meet Reg 6(1)(a) (net tangible assets of at least Rs 30 m in each of the three preceding years) or Reg 6(1)(c) (net worth of at least Rs 10 m in each of those years); FY24 net worth is Rs 5.32 m. Reg 32(2) then requires at least 75% of the Offer to be allotted to QIBs, otherwise the Offer fails. Not-more-than 15% to NIBs and 10% to retail.

For information only. Not an offer, solicitation or recommendation, and not investment advice or a research report. The Fund may hold or bid for securities of issuers discussed. Investments in securities market are subject to market risks. Read all the related documents carefully before investing. Registration granted by SEBI in no way guarantees performance of the Fund or provides any assurance of returns to investors.

Forensic scorecard

Ten forensic checks and seven regulatory checks.

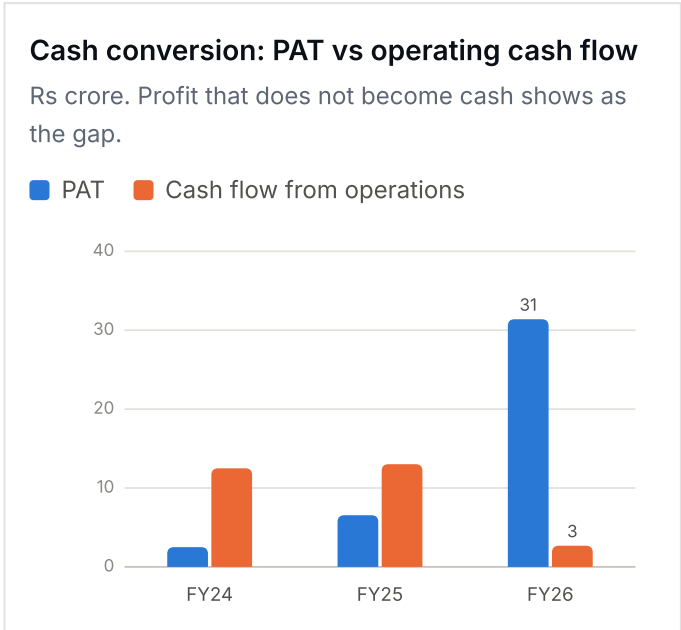
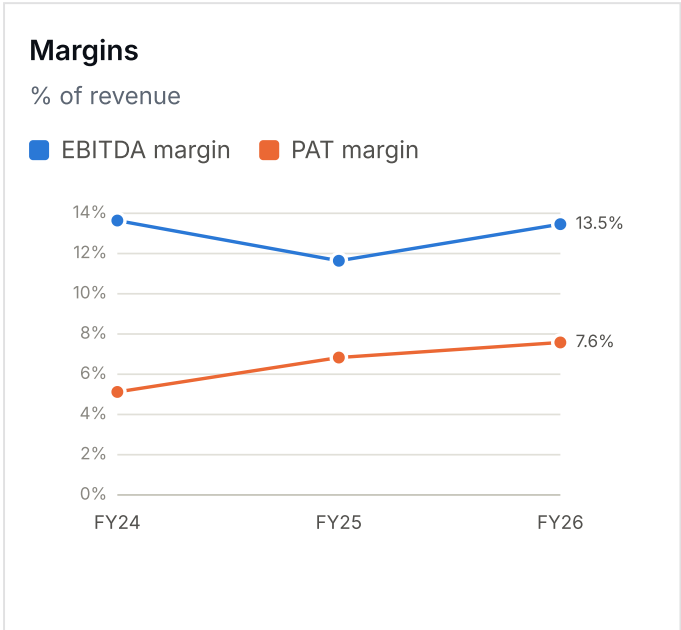
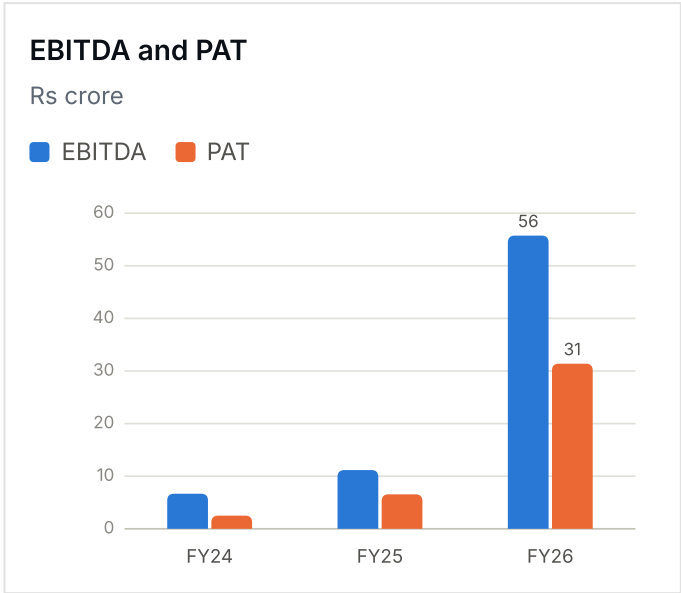
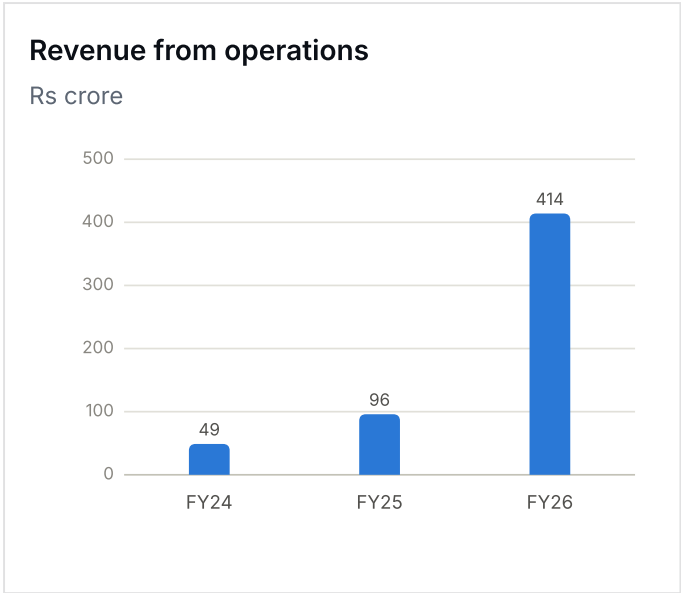
#	CHECK	RESULT	FINDING	PAGE
1	Bonus issue / share-count consistency	✓ Pass	Bonus 22:1 (allotted 27-May-2026) and split of Rs 10 to Rs 5 (4-May-2026) are applied retrospectively: EPS 5.64 / 1.42 / 0.57 and NAV Rs 12.75 use 55,650,984 shares. Check: Rs 313.90 m / 55.65 m = Rs 5.64. The FY26 balance sheet share capital of Rs 12.10 m is the pre-bonus count (1,209,804 shares of Rs 10) and is a presentation point.	pp. 104-105, 154-156
2	Cash flow vs profit	! Watch	CFO was Rs 124.93 m / 130.15 m / 26.85 m in FY24 / FY25 / FY26. Cumulative CFO is Rs 281.93 m against cumulative PAT of Rs 404.39 m = 69.7% (mixed standalone / consolidated basis). FY26 CFO is 8.6% of FY26 PAT after a Rs 445.46 m inventory build and a Rs 281.35 m rise in other assets; the Rs 104.52 m of tax paid is also in CFO. CFO after interest paid (Rs 96.06 m) and lease payments (Rs 17.85 m) is negative in FY26 (-Rs 87.06 m).	p. 88
3	Current vs deferred tax	✓ Pass	Current tax Rs 130.30 m on PBT of Rs 444.12 m = 29.3% in FY26 (statutory 25.17%); deferred tax was a small credit of Rs 0.09 m. FY25 current tax 16.1% of PBT and FY24 10.0% of PBT, both on the small pre-acquisition standalone Company. Tax paid in cash FY26 was Rs 104.52 m = 23.5% of PBT.	p. 87
4	Related-party capex & subsidiaries	! Watch	Related-party purchases Rs 164.91 m in FY26 (6.5% of cost of materials consumed) and sales Rs 69.99 m (1.7% of revenue); balance receivable from Guru Nanak Agriculture Implements Rs 49.09 m = 8.0% of trade receivables. Loans and advances given to KMP at 31-Mar-2026: Jagatjit Singh Rs 45.00 m and Dharam Singh Rs 10.00 m (p. 95). The Rs 716.64 m capex object is on the Dehlon facility, whose land (16.20 acres) is leased from the promoters under a lease with 15% escalation every three years (p. 129). No proceeds go to a subsidiary.	pp. 94-95, 129
5	Objects arithmetic as price floor	– N.A.	Fresh issue is amount-based (up to Rs 3,000 m) and the share count is [●], so no objects price floor can be set. Specific objects total Rs 2,001.64 m (working capital 1,100.00; Dehlon capex 716.64; debt repayment 185.00); the remaining Rs 998.36 m is offer expenses plus general corporate purposes (cap 25% of gross proceeds = Rs 750 m).	pp. 123-124
6	Revaluation reserve	✓ Pass	No revaluation reserve line; the DRHP states no shares have been issued out of revaluation reserve (p. 105).	pp. 85-86; 105
7	Goodwill vs tangible equity	✓ Pass	Goodwill Rs 4.55 m = 0.6% of tangible net worth (Rs 704.74 m); it arises on the slump-sale acquisitions (consideration Rs 324.57 m against net assets Rs 320.03 m; Rs 3.05 m and Rs 1.50 m, Note 33). Proforma FY25 shows goodwill of Rs 65.66 m (p. 91) against Rs 4.55 m restated, a difference the DRHP does not reconcile in the summary.	pp. 85, 368, 388

#	CHECK	RESULT	FINDING	PAGE
8	Customer / supplier / geographic concentration	! Watch	Top customer 25.21% / 21.86% / 19.36% of revenue FY26 / FY25 / FY24 (restated); top-5 40.84%, top-10 50.04%. In FY25 and FY24 the top 'customer' was the promoter's own proprietorship SMW II. On proforma basis top customer 11.59% (FY25). Top-10 suppliers 40.53% FY26 (76.68% FY25, 96.69% FY24); top supplier 7.94% FY26. No long-term agreements with suppliers or customers; distributors 46.16% and dealers 39.92% of FY26 revenue; dealer agreements terminable on 60 days' notice (p. 29). Exports 1.36% of FY26 revenue. Neither the 80% single-name test nor the top-10 test is met.	pp. 23, 33, 36
9	Contingent liabilities	✓ Pass	Contingent liabilities Rs 71.70 m = 10.2% of tangible net worth (Rs 704.74 m): GST demands 22.67, income tax 0.18, other 6.50, bank guarantees 42.35. Rs 2.14 m of the GST demand relates to SMW I and is to be discharged by the Company under the business transfer terms.	p. 93
10	Investor presentation vs DRHP	– N.A.	No investor presentation reviewed.	
R1	Auditor qualifications / changes	! Watch	No audit qualification on the financial statements. Rule 11(g) audit-trail remark: the accounting software did not record an audit trail at database level in FY24, FY25 and FY26 (to 31-Dec-2025; enabled January 2026). Risk factor discloses past disqualification of certain promoters / executive directors under Section 164 for directorship of Jaggatjit Agro Private Limited, which had not filed its financial statements / annual returns (p. 23). Statutory auditor: Anup Kumar Jain & Co. (FRN 005731N).	pp. 47-52
R2	CARO / audit trail	! Watch	CARO 2020 Rule 11(g): audit trail feature not available at database level for FY24 and FY25 and, for FY26, until 31-Dec-2025. The issuer states no impact on the financial statements and that the feature was enabled in January 2026.	p. 52
R3	Monitoring agency	✓ Pass	Offer exceeds Rs 1,000 m; the issuer will appoint a SEBI-registered credit rating agency as monitoring agency before filing the RHP.	p. 101
R4	Eligibility re-computation	! Watch	Offer is made under Reg 6(2): the issuer does not meet Reg 6(1) (a) (net tangible assets of at least Rs 30 m in each of the three preceding years) or Reg 6(1)(c) (net worth of at least Rs 10 m in each of those years); FY24 net worth is Rs 5.32 m. Reg 32(2) then requires at least 75% of the Offer to be allotted to QIBs, otherwise the Offer fails. Not-more-than 15% to NIBs and 10% to retail.	pp. 57, 502
R5	SME conditions	– N.A.	Mainboard issue; SME conditions do not apply. Offer for sale is 3,100,000 shares by one promoter (Jagatjit Singh, 88.03% pre-offer); the selling holder's participation share is a post-price calculation.	
R6	Lead-manager track record	! Watch	DRHP gives Keynote's two IPOs in FY2026-27 (Amir Chand Jagdish Kumar (Exports) Ltd and CSM Technologies Ltd; both below issue price at 30 days) and none in FY2025-26 or FY2024-25. Both recorded in data/merchant_bankers.json. Current prices and issuer financials are not compiled.	pp. 510-511

#	CHECK	RESULT	FINDING	PAGE
R7	Firm means of finance	✓ Pass	Objects are funded wholly from the Fresh Issue; no separate means-of-finance tie-up is required. Net proceeds are not appraised by any bank or financial institution (p. 125).	pp. 123-124

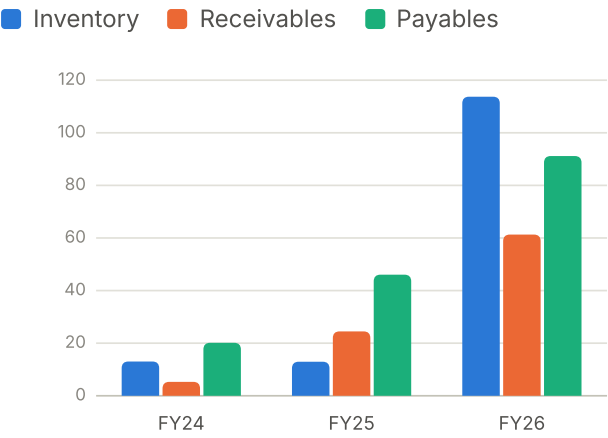
Financial performance

Restated figures, Rs crore. Hover a mark for its value; open "Data table" under any chart for the numbers.



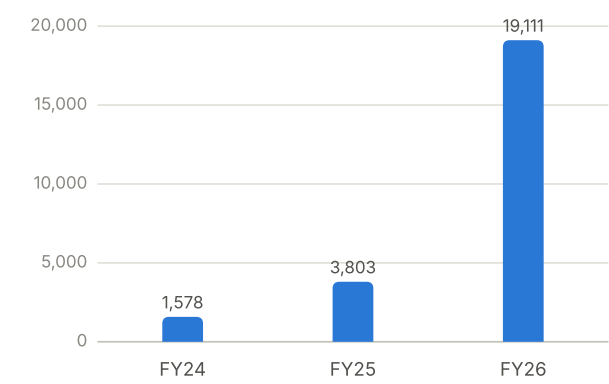
Working capital build-up

Rs crore, year end



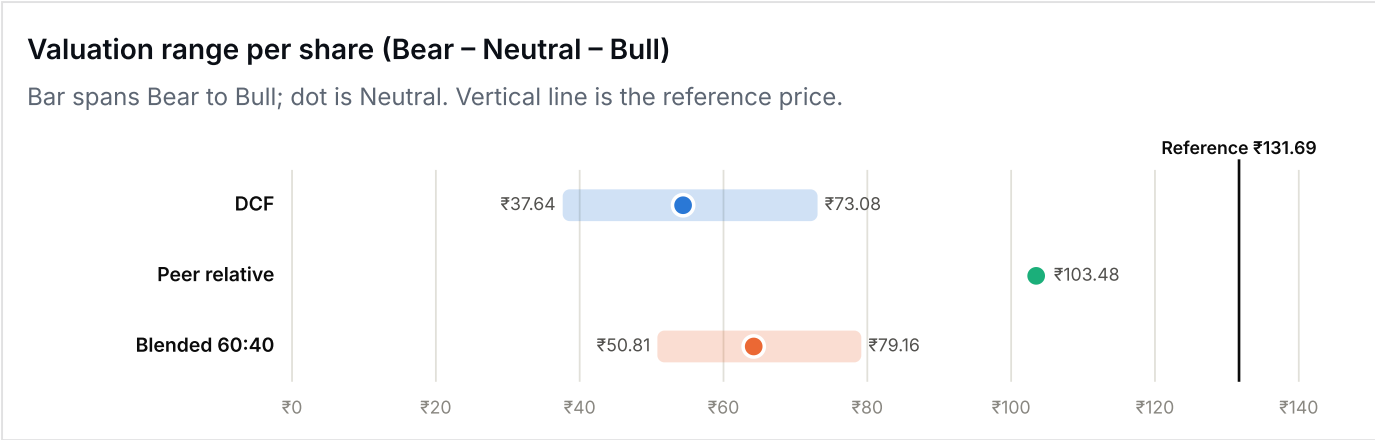
Volume

units sold



Valuation

DCF and peer-relative values shown separately, then blended 60:40. Reference: Rs 131.69 = lowest listed-peer P/E in the DRHP (Escorts Kubota 23.35x, p. 156) x FY26 basic EPS Rs 5.64 (p. 154). It is our construct for measuring upside, not a price band. For scale: the Oct-2025 allotment to the promoters in the business transfer was Rs 1,547 per Rs 10 share, which is Rs 33.63 per Rs 5 share after the 22:1 bonus and 1:2 split (our arithmetic from pp. 105, 388).



Scenario summary

RS/SHARE	DCF	RELATIVE	BLENDED	VS REFERENCE
Bear	₹37.64	₹103.48	₹50.81	-61.4%
Neutral	₹54.38	₹103.48	₹64.2	-51.2%
Bull	₹73.08	₹103.48	₹79.16	-39.9%

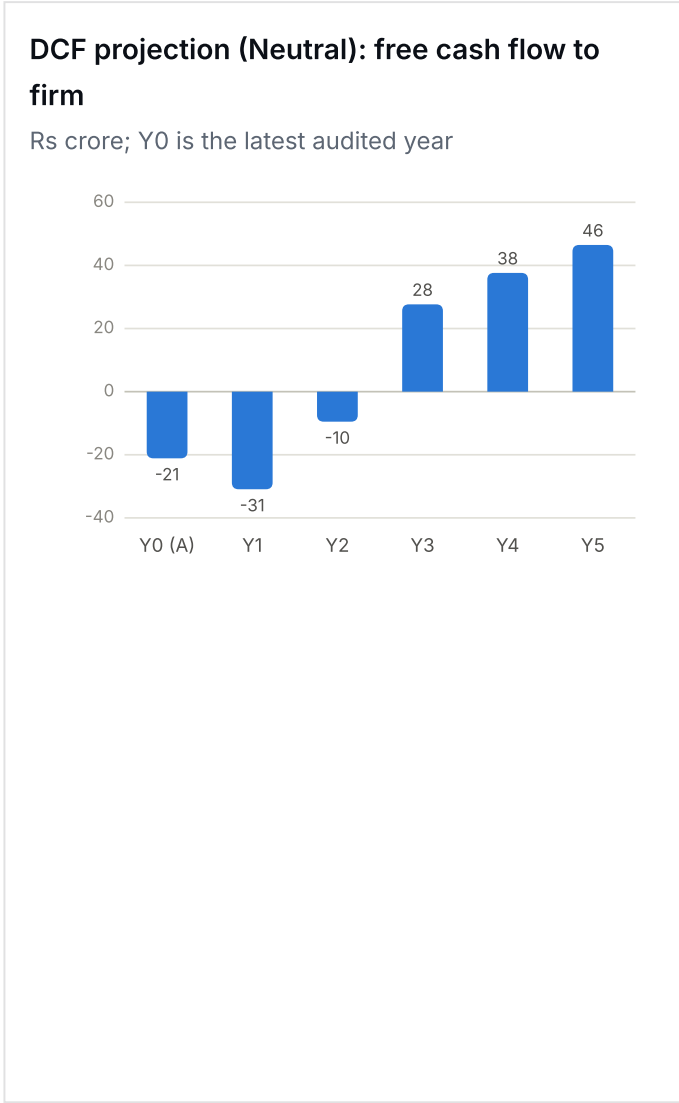
WACC16.8%

Terminal value share of EV89.6%

Reverse DCF: what the reference price needs

LEVER	REQUIRED	ACTUAL
implied perpetual growth on current FCFF	n.m. (FCF negative)	4.5%
implied WACC at terminal g	n.m. (FCF negative)	16.8%
required EBIT margin (steady state)	43.1%	12.3%
required NWC % of revenue (steady state)	Unreachable: needs negative working capital	20.3%

Current free cash flow is negative: no multiple can be stated, and the entire price rests on a turn that has not yet begun.



Sensitivity: WACC vs terminal growth

Value per share (Rs). Blue above, red below the reference.

	Terminal growth				
WACC	3.5%	4.0%	4.5%	5.0%	5.5%
14.8%	₹62.22	₹62.75	₹63.33	₹63.96	₹64.63
15.8%	₹57.71	₹58.06	₹58.44	₹58.84	₹59.26
16.8%	₹53.92	₹54.15	₹54.38	₹54.62	₹54.88
17.8%	₹50.7	₹50.83	₹50.97	₹51.1	₹51.24
18.8%	₹47.93	₹48	₹48.06	₹48.12	₹48.18

Below reference  Above reference

Sensitivity: working capital vs EBITDA margin

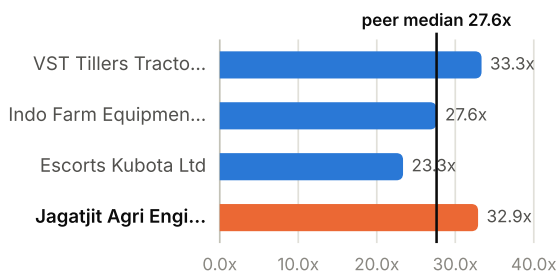
Value per share (Rs). The lever that moves value most deserves the most diligence.

	EBITDA margin				
NWC % rev	11.0%	12.0%	13.0%	14.0%	15.0%
14%	₹50.49	₹54.86	₹59.24	₹63.61	₹67.98
17%	₹48.07	₹52.44	₹56.81	₹61.18	₹65.55
20%	₹45.64	₹50.01	₹54.38	₹58.75	₹63.12
23%	₹43.21	₹47.58	₹51.95	₹56.32	₹60.69
26%	₹40.78	₹45.15	₹49.52	₹53.9	₹58.27

Below reference  Above reference

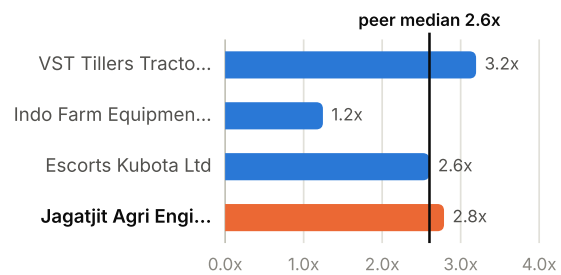
Peer P/E

Issuer at reference price (orange) vs listed peers named in the offer document



Peer P/B

Issuer on post-issue net worth



Offer structure and supply

How the issue is split, where an AIF can bid as anchor, and shares that unlock after listing.

Issue split by investor category (Rs 341 cr net offer)

The open anchor pool is the part an AIF competes for; allocation is discretionary.

■ Anchor: MF reserved
 ■ Anchor: insurers & pension
 ■ Anchor: open pool
 ■ QIB (non-anchor)
 ■ Non-institutional
 ■ Retail



Lock-in expiries known from the offer document

HOLDER	SHARES (LAKH)	LOCK-IN (DAYS FROM ALLOTMENT)
Promoter minimum contribution (20% of post-offer capital, at Rs 131.69 reference)	156.86	540
Promoter holding above minimum contribution, after OFS	368.4	180
Pre-issue non-promoter shareholders (0.03% pre-offer)	0.18	180

Anchor tranches (30 / 90 days) and promoter lock-ins are dated once the RHP fixes the allotment date.

Merchant bankers

Lead managers' recent issues: listing-day open vs issue price (offer-document data) and post-listing moves.

Keynote Financial Services Limited		
Listed: Not stated in the DRHP; not verified		
Owner: –		
FINANCIAL YEAR	IPOS	RAISED (RS CR)
FY2026-27	2	586
FY2025-26	0	–
FY2024-25	0	–

Listing-day open vs issue price
Recent issues handled by this offer's lead managers

Amir Chand Jagdish Kumar (Exports)

CSM Technologies

-8.0%

0.0%

-10%

-8%

-6%

-4%

-2%

0%

Issuers' revenue growth, FY24 → FY26
Secondary-source financials, unverified (see note)

0%

20%

40%

60%

80%

100%

SWOT

Each point carries its figure and page reference in the note.

STRENGTHS - FY26 EBITDA Rs 557.38 m, margin 13.46%; proforma FY25 margin 14.51% (p. 157) - ROCE 31.10% and interest cover 5.03x in FY26 (p. 157) - Current tax Rs 130.30 m = 29.3% of PBT, above the statutory rate (p. 87) - Two integrated plants; FY26 utilisation 73.62% at Cheema and 89.68% at Dehlon (p. 267) - Issuer reports about 13% value share in straw reapers and 30% / 15% / 12% of subsidised super-seeder units in MP / Haryana / Punjab, from an issuer-commissioned report (p. 236)	WEAKNESSES - FY26 CFO Rs 26.85 m against PAT Rs 313.90 m (p. 88) - Top customer 25.21% of FY26 revenue; no long-term agreements; dealer contracts terminable on 60 days' notice (pp. 29, 36) - Borrowings Rs 1,344.07 m; debt/equity 1.89x; 78.06% repayable within 12 months (pp. 157, 480) - Audit trail not enabled at database level to 31-Dec-2025 (p. 52) - Promoters disqualified in the past as directors of Jaggatjit Agro Pvt Ltd for non-filing (p. 24)
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OPPORTUNITIES

- Indian farm equipment market projected at 7.7% CAGR FY26-FY30 per the issuer-commissioned CARE report (p. 129)
- Organised segment about 60% of the implements market, Rs 264 bn in FY26 to Rs 415 bn in FY30, per the same report (p. 221)
- Dehlon capacity from 4,000 to 33,000 units (p. 136)
- Rs 185 m of the proceeds repays borrowings (p. 124)

THREATS

- Subsidy-linked demand; State payments have been delayed (p. 57)
- Fourth-quarter revenue is seasonally lower (p. 24)
- Promoter-leased land under the Dehlon plant with 15% escalation every three years (p. 129)
- Fail-if-under-75%-QIB structure under Reg 6(2) (p. 57)
- Peers are far larger tractor makers; the DRHP names no direct listed peer (p. 156)

Due-diligence note

Jagatjit Agri Engineering Limited: DRHP screen

Basis. Draft Red Herring Prospectus dated 25-Sep-2026, filed with SEBI on 01-Oct-2026. Restated financials run to 31-Mar-2026 and are **192 days old** at the date of this note (09-Oct-2026). **No price band has been announced.** Figures are from the DRHP (printed page numbers) in ₹ million unless stated.

Upside is measured against **₹131.69**, which is the lowest listed-peer P/E in the DRHP (Escorts Kubota, 23.35x, p. 156) applied to FY26 basic EPS of ₹5.64 (p. 154). It is our construct, not a price band. Exit route assumed: 2–3 year hold.

The three years are not like-for-like. FY26 is consolidated and includes two businesses (Saron Mechanical Works I and II, owned by the promoters) that the Company took over on 01-Apr-2025. FY24 and FY25 are the small standalone Company before that. The DRHP supplies unaudited proforma figures for FY25 and FY24 that combine the three businesses (pp. 91–92); this note uses them for growth.

A DRHP is a screen, not a decision. The audited record is more than six months old, so no capital should be committed until the RHP, which must carry newer financials, has been read.

Verdict: Screen only. The evidence is mixed.

Strengths: profitable growth on a like-for-like base, high stated returns, cash tax above the statutory rate.

- On the proforma base, revenue rose from ₹2,074.48 m (FY24) to ₹2,537.60 m (FY25) and ₹4,139.70 m (FY26), growth of 22.3% and then 63.1%; PAT rose from ₹80.82 m to ₹206.95 m to ₹313.90 m (+51.7% in FY26) (pp. 87, 92).
- EBITDA margin was 13.46% in FY26 against 14.51% proforma FY25; ROCE was 31.10% and interest cover 5.03x (p. 157).
- Current tax was ₹130.30 m, 29.3% of PBT, above the 25.17% statutory rate (p. 87).

Concerns: cash conversion, concentration and a structure that fails if institutions do not take 75%.

- FY26 operating cash flow was ₹26.85 m against PAT of ₹313.90 m (8.6%), after a ₹445.46 m inventory build and a ₹281.35 m rise in other assets. After interest and lease payments it was negative, –₹87.06 m (p. 88).
- The top customer was 25.21% of FY26 revenue and the top ten 50.04%; distributors were 46.16% and dealers 39.92% of revenue. There are no long-term customer or supplier agreements (pp. 29, 36).
- The offer is made under Regulation 6(2) because net worth was ₹5.32 m in FY24. If less than 75% of the offer is allotted to QIBs, the offer fails (p. 57).
- The proceeds fund a capacity rise at Dehlon from 4,000 to 33,000 units against 18,219 units produced across both plants in FY26 (pp. 136, 267).

On a cash basis (DCF) the value is below the reference; on peer multiples, after a 25% discount for business-model gap and size, it is closer to the reference but still below. **H1 FY27 operating cash flow, the price band and the QIB response will show whether the reference is supportable.**

Snapshot

	FY24 restated (standalone)	FY25 restated (standalone)	FY26 restated (consolidated)	FY25 proforma	FY24 proforma
Revenue from operations	488.60	959.26	4,139.70	2,537.60	2,074.48
EBITDA (issuer KPI)	66.66	111.65	557.38	368.18	201.97
EBITDA margin	13.64%	11.64%	13.46%	14.51%	9.74%
PAT	25.02	65.47	313.90	206.95	80.82
EPS, post bonus and split (₹)	0.57	1.42	5.64	3.72	1.68
Cash flow from operations	124.93	130.15	26.85	n/a	n/a
Borrowings (incl. leases)	267.67	201.44	1,344.07	845.24	646.54
Tangible net worth	5.32	70.78	704.74	389.96	231.24
ROCE (issuer)	21.40%	35.59%	31.10%	31.55%	26.72%
Units sold	1,578	3,803	19,111	12,234	8,895

Sources: pp. 87–88, 91–92, 157. The proforma statements carry no cash flow statement.

Business model

- **What it sells:** tractor-operated and tractor-mounted agricultural implements for land preparation, sowing, crop-residue management, levelling and harvesting, plus briquette machines for residue. 20 products, 192 SKUs and 19,111 units sold in FY26 (p. 157). Top five by FY26 revenue: Super Seeder, Laser Land Leveller, Rotavator, Straw Reaper and Briquette Machine (p. 267).
- **Who buys it:** farmers, through 11 distributors and 224 dealers in 20 states (FY26); exports were 1.36% of revenue (pp. 29, 157). Some products are bought at subsidised prices under State schemes; empanelment is a condition, and State payments have been delayed (p. 57).
- **How it earns:** manufacturing margin on steel-based equipment. FY26 gross margin was 39.06% and EBITDA margin 13.46% (p. 157). Cost of materials was 61.22% of revenue (p. 473).
- **What it owns:** two plants, Cheema (Sangrur) and Dehlon (Ludhiana), with 19,875 and 4,000 units of installed capacity in FY26 (p. 267). Dehlon sits on 16.20 acres leased from the promoters, rent escalating 15% every three years (p. 129).
- **What it outsources:** raw materials and bought-out parts (gear boxes, tynes, pipes, HR sheets); no long-term supply agreements. 224 dealers and 11 distributors sell the product; distributors earn a commission (pp. 23, 29).
- **Structure:** the Company took over the businesses of Saron Mechanical Works I (Dharam Singh) and II (Jagatjit Singh) by slump sale on 01-Apr-2025 at carrying values. Net assets were ₹66.09 m and ₹253.94 m; consideration of ₹69.13 m and ₹255.44 m was paid by issuing 209,804 shares of ₹10 at ₹1,547 each (22-Oct-2025) (pp. 387–388, 105). It also bought Jagatjit Energies Private Limited from Jagatjit Singh and Lakshjit Singh for ₹0.10 m (p. 94).

Industry analysis

Source: "Industry Research Report on Agri Equipment Sector" by CARE Analytics and Advisory, dated 23-Sep-2026, **commissioned and paid for by the issuer** for this offer (p. 66). Treat its market estimates accordingly.

- **Size and growth:** the report projects the domestic farm equipment market at a 7.7% CAGR over FY26–FY30 (p. 129). The organised segment is put at about 60% of the implements market, at ₹264 bn in FY26 and ₹415 bn in FY30 (p. 221). The issuer's FY26 revenue of ₹4.14 bn is about 1.6% of the FY26 organised figure (our arithmetic).
- **Structure:** moderately fragmented; the remaining 40% is unorganised and regional (p. 221). The report calls the issuer the third-largest homegrown agricultural implement maker in India and puts its straw reaper share at about 13% by value in FY26 (p. 236).
- **Competitors named in the DRHP:** VST Tillers Tractors, Indo Farm Equipment and Escorts Kubota, which the DRHP itself says are not direct peers (p. 156). The group company Goodfield Technology Private Limited has common pursuits and may compete (p. 23).
- **Regulation and cyclicity:** demand is tied to State subsidy schemes, crop-residue management rules in Punjab, Haryana, Uttar Pradesh and Madhya Pradesh, and the kharif–rabi cycle; the fourth quarter is seasonally weaker (pp. 24, 236).

Moat

Source	Evidence	Durability
Subsidy empanelment	Non-empanelled makers cannot offer subsidised pricing (p. 57)	Moderate. Applies to every empanelled maker, not only the issuer
Brand and dealer reach	224 dealers, 11 distributors, 20 states; brand used for over three decades through the proprietorships (pp. 29, 57)	Moderate. Dealer contracts run three years and end on 60 days' notice (p. 29)
Integrated manufacturing	Cutting to assembly at two plants; fungible lines (p. 267)	Low to moderate. Fabrication is replicable; utilisation was 73.62% (Cheema) and 89.68% (Dehlon) in FY26
Regional share	About 30% / 15% / 12% of subsidised super-seeder units in Madhya Pradesh / Haryana / Punjab, and about 13% of straw reapers (p. 236)	Unproven. From the issuer-commissioned report; no independent check

Overall the DRHP supports a **narrow brand-and-distribution position**, not a cost or technology moat. It shows no patents or proprietary process in the pages read, and customers have no long-term contracts.

Revenue and profit growth drivers

Revenue: acquisition in the reported figures; volume and mix in the proforma.

- Reported revenue rose ₹3,180.44 m in FY26. ₹856.36 m of FY25 proforma sales were intercompany and are eliminated; on the proforma base the rise is ₹1,602.10 m (+63.1%) (pp. 92, 439).
- Units sold rose 56.2% on the proforma base (12,234 to 19,111). Revenue per unit was ₹216.6 thousand against ₹207.4 thousand, up 4.4% (our arithmetic from pp. 92, 157). Volume is therefore the larger driver;

price and mix added a little.

- Number of states served rose from 15 to 20; SKUs from 95 (restated FY25) to 192 (p. 157).

Profit: gross margin and scale.

% of revenue	FY25 proforma	FY26 restated
Gross margin (revenue less cost of goods)	37.19	39.06
Employee cost	10.22	6.66
Other expenses	12.46	18.94
EBITDA (issuer KPI)	14.51	13.46

- Employee cost fell 3.56 points of revenue, other expenses rose 6.48 points. FY26 other income of ₹35.03 m includes ₹26.05 m of sundry balances written back (74% of other income, 5.9% of PBT); the issuer's EBITDA excludes other income (pp. 472–473).
- Proforma gross margin rose from 23.58% (FY24) to 37.19% (FY25) and 39.06%; the pages read do not explain a 13.6-point rise in FY25 (p. 157).
- Below EBITDA, finance cost was ₹101.63 m (2.5% of revenue) and depreciation ₹46.66 m; PAT margin was 7.58% (p. 87).

SWOT

	Item (figure, page)
Strengths	EBITDA ₹557.38 m, margin 13.46% (p. 157); ROCE 31.10%, interest cover 5.03x (p. 157); current tax 29.3% of PBT (p. 87); two integrated plants at 73.62% and 89.68% utilisation (p. 267); about 13% straw reaper value share, issuer-commissioned report (p. 236)
Weaknesses	FY26 CFO ₹26.85 m vs PAT ₹313.90 m (p. 88); top customer 25.21% (p. 36); borrowings ₹1,344.07 m, debt/equity 1.89x, 78.06% repayable within 12 months (pp. 157, 480); audit trail not enabled at database level to 31-Dec-2025 (p. 52); past director disqualification (p. 24)
Opportunities	Domestic farm equipment CAGR 7.7% FY26–30, issuer-commissioned (p. 129); organised segment ₹264 bn to ₹415 bn (p. 221); Dehlon capacity 4,000 to 33,000 units (p. 136); ₹185.00 m of debt repayment (p. 124)
Threats	Subsidy-linked demand and payment delays (p. 57); weaker fourth quarter (p. 24); promoter-leased land with 15% escalation (p. 129); offer fails if under 75% QIB allotment (p. 57); much larger tractor-maker peers (p. 156)

The offer and objects

- **Size:** fresh issue of up to ₹3,000.00 m plus an offer for sale of up to 3,100,000 shares by Jagatjit Singh (cover page). At the ₹131.69 reference the OFS is ₹408.2 m and the offer ₹3,408.2 m, of which the OFS is 12.0% (our arithmetic). A pre-IPO placement of up to ₹600.00 m may reduce the fresh issue (p. 123).
- **Eligibility:** Regulation 6(2). At least 75% of the offer to QIBs, not more than 15% to non-institutional bidders and 10% to retail. Anchor allocation is discretionary, up to 60% of the QIB portion, and anchor

shares are locked in, 50% for 30 days and 50% for 90 days. An anchor bid therefore cannot be sold on listing day (pp. 57, 82).

- **Objects (₹ m):** working capital 1,100.00 (36.7% of gross proceeds), Dehlon capex 716.64 (23.9%), debt repayment 185.00 (6.2%); the balance of 998.36 (33.3%) is offer expenses plus general corporate purposes, capped at 25% of gross proceeds (₹750 m) (pp. 123–124). Deployment: nothing in FY27; working capital 700.00 in FY28 and 400.00 in FY29; capex and debt repayment in FY28 (p. 124).
- **Working capital object tested:** the issuer's table shows a requirement of ₹1,029.46 m at FY26, funded by ₹852.66 m of short-term borrowings; sanctioned limits were ₹1,150 m with ₹945.02 m used at 31-Aug-2026 (pp. 125–126). The ₹1,100.00 m object is therefore about the size of the FY26 requirement, deployed over two later years.
- **Capex object:** ₹716.64 m excludes ₹91.74 m of GST and ₹2.60 m of freight, which the Company pays itself. The project report is by L & C Techfin Advisory, stated not to be a related party; the plan is not appraised by a bank or institution (pp. 124–125).
- **Shares and holders:** 55,650,984 shares before the issue; promoters hold 99.97% (Jagatjit Singh 88.03%, Simran Saron 8.25%, Dharam Singh 3.69%) (p. 110). 22:1 bonus on 27-May-2026 and 1:2 split on 04-May-2026 (p. 105).
- **Promoter cost:** weighted average cost of acquisition ₹5.40 for the selling promoter and ₹5.94 for all shares in the last three years, including bonus shares at nil (pp. 1, 120). The Oct-2025 allotment was ₹33.63 per ₹5 share after bonus and split (our arithmetic from pp. 105, 388). That implies a pre-money value of about ₹1,872 m (6.0x FY26 PAT) against ₹7,329 m at the reference (23.3x).
- **Lock-ins:** promoters' minimum contribution (20% of post-offer capital) 18 months; remaining promoter holding and all pre-issue non-promoter holdings six months (p. 116). At the reference that releases about 368.4 lakh promoter shares and 0.18 lakh non-promoter shares after six months (our arithmetic).

Financials: positives and concerns side by side

Area	Positive	Concern
Growth	Proforma revenue +63.1%, PAT +51.7% in FY26; units +56.2%	Reported FY26 revenue is 4.3x FY25 because of the acquisition; no stub or H1 FY27 data
Profitability	EBITDA margin 13.46%; ROCE 31.10%	Other income includes ₹26.05 m of written-back balances; employee cost fell sharply as a share of revenue
Cash	Cash tax paid ₹104.52 m, 23.5% of PBT	CFO ₹26.85 m = 8.6% of PAT; negative after interest and leases
Balance sheet	Debt/equity 2.85x to 1.89x; interest cover 5.03x	Borrowings ₹1,344.07 m; ₹973.64 m due within 12 months; trade payables ₹911.54 m; promoter personal guarantees and property mortgages secure the debt (pp. 480, 40)
Governance	Three independent directors; litigation shows no material criminal matters against the Company in the pages read	Promoter remuneration ₹60.00 m in FY26 (nil in FY25) = 19.1% of PAT; loans to directors ₹55.00 m outstanding at 31-Mar-2026 (p. 95)

Forensic scorecard

#	Check	Result
1	Bonus restatement	Pass. EPS and NAV use 55,650,984 shares for every year
2	CFO vs PAT	Watch. Cumulative CFO/PAT 69.7%; FY26 8.6%; negative after interest and leases
3	Current vs deferred tax	Pass. Current tax 29.3% of FY26 PBT; deferred tax a small credit
4	Related-party capex / subsidiaries	Watch. Related-party purchases ₹164.91 m (6.5% of materials); director loans ₹55.00 m; promoter-leased land
5	Objects price floor	Not applicable. Amount-based issue
6	Revaluation reserve	Pass. None
7	Goodwill	Pass. ₹4.55 m (0.6% of tangible net worth); proforma goodwill ₹65.66 m not reconciled
8	Concentration	Watch. Top customer 25.21%, top ten 50.04%; no long-term contracts
9	Contingent liabilities	Pass. ₹71.70 m = 10.2% of tangible net worth
10	Investor presentation	Not applicable
R1	Auditor	Watch. No qualification; audit-trail remark in all three years
R2	CARO audit trail	Watch. Not enabled at database level to 31-Dec-2025
R3	Monitoring agency	Pass. To be appointed
R4	Eligibility re-computation	Watch. Reg 6(2) route; net worth ₹5.32 m in FY24
R6	BRLM track record	Watch. Two IPOs, both below issue price at 30 days

Merchant bankers

Keynote Financial Services Limited (sole BRLM)

- **Status and ownership:** the DRHP does not state the manager's listing or ownership; neither has been sourced in this run (see data gaps).
- **Issues handled:** none in FY25 or FY26; two so far in FY27, raising ₹5,858 m in total (p. 511).
- **At 30 days:** both traded at a discount of less than 25%. **At 180 days:** one discount of less than 25%; the other had not reached 180 days (p. 511).

Issuer	Issue price (₹)	Issue size (₹ m)	Listed	Listing-day open vs issue	30 / 90 / 180 days*	Revenue and PAT, 3 years	Latest price
Amir Chand Jagdish Kumar (Exports) Ltd	212.00	4,400	2026-04-02	-8.02%	-23.53% / -15.98% / -	not retrieved	not retrieved

Issuer	Issue price (₹)	Issue size (₹ m)	Listed	Listing-day open vs issue	30 / 90 / 180 days*	Revenue and PAT, 3 years	Latest price
CSM Technologies Ltd	113.00	1,458	2026-07-02	0.00%	-2.75% / - / -	not retrieved	not retrieved

* % change in closing price over the issue price on the 30th, 90th and 180th calendar day, BSE data in the DRHP as on its date (p. 510).

Read of the track record. Two issues is too few to infer a pattern. Both traded below the issue price at 30 days and the earlier of the two was still 16% below at 90 days. The DRHP delegates the full ten-issue track record to the manager's website (p. 511); it has not been compiled here.

Valuation

All values are ₹ per share on 7.84 crore post-issue diluted shares at the ₹131.69 reference (fresh issue of ₹300 crore at that price, before offer expenses).

Scenario	DCF	Relative	Blended 80:20	vs ₹131.69
Bear	37.64	103.48	50.81	-61.4%
Neutral	54.38	103.48	64.20	-51.3%
Bull	73.08	103.48	79.16	-39.9%

- **DCF.** WACC is 16.78% (house CAPM inputs plus a 3% size premium; pre-tax cost of debt 9.5%, set near finance cost over average borrowings). Terminal growth is 4.50%. The Neutral case has revenue growth easing from 22% to 10%, EBITDA margin 13.0% and trade working capital 20% of revenue (FY26: 20.3%). Free cash flow to the firm is negative in years 1–3 (–₹21.1 crore, –₹30.9 crore, –₹9.5 crore) because growth absorbs working capital, and positive from year 4. Terminal value is 89.6% of enterprise value, above the 75% guard. Terminal return on capital (18% Neutral) is above the WACC.
- **Relative.** Uses the DRHP's three listed peers (VST Tillers 33.34x P/E, Indo Farm 27.62x, Escorts Kubota 23.35x). The DRHP says none is a direct peer; all three make tractors or tillers, are far larger and are close to debt-free. We apply a 25% discount for business model, size and liquidity and weight the blend 80:20 toward the DCF because no comparable peer exists. Peer net debt is shown as gross borrowings because the DRHP gives no cash figure.
- **Why DCF and relative differ by 47%.** The relative method prices peer earnings. The DCF prices cash, and this business has not yet converted profit into cash: working capital is about 20% of revenue and each rupee of added revenue absorbed about ₹0.20 of trade working capital between proforma FY25 and FY26 (our arithmetic from pp. 85–86, 91). The gap is the investment question: does the profit turn into cash once growth slows?
- **Dilution.** On the same FY26 profit, post-issue ROE is about 8.5% against 53.9% pre-issue, before offer expenses (our arithmetic: ₹313.90 m ÷ (₹704.74 m + ₹3,000 m)). P/E rises from 23.3x pre-issue to 32.9x on post-issue shares.
- **Reverse DCF.** Current free cash flow is negative, so no multiple can be stated and the reference price rests on a turn that has not yet begun. Holding the other drivers at actual levels, the price needs a steady-state EBIT margin of 43.1% (against 12.34%); the growth and WACC levers cannot be solved on negative current cash flow; and no working-capital level reaches it.
- **Sensitivity.** The grids show WACC against terminal growth and the margin and working-capital axes; at Neutral, one point of WACC moves value by about ₹1.5 per share.

What would change our view

Test each of these against the RHP:

1. **Price band.** The Neutral blended value is ₹64.20 and the peer P/E range is 23.35x–33.34x; a band well below ₹131.69 would narrow the gap.
2. **Cash conversion.** H1 FY27 operating cash flow. A first half where CFO exceeds 50% of PAT would support the DCF; another build of inventory (raw materials rose from ₹41.78 m to ₹478.99 m in FY26, p. 473) would not.
3. **Earnings quality.** FY26 other income without the ₹26.05 m of written-back balances, and the reconciliation of proforma to restated goodwill (₹65.66 m vs ₹4.55 m).
4. **Concentration.** The identity of the top customer (25.21% of FY26 revenue) and its share in H1 FY27; the share of revenue from related parties above 2%.
5. **Director loans.** Repayment of the ₹55.00 m advanced to Jagatjit Singh and Dharam Singh before listing, and confirmation that no proceeds repay promoter loans.
6. **Capex.** Orders placed and quotations for the ₹716.64 m Dehlon project, and utilisation of the 4,000-unit Dehlon line (89.68% in FY26) after commissioning.
7. **QIB response.** Anchor book quality and QIB subscription of at least 75%, without which the offer fails.
8. **Control gap.** Audit trail enabled at database level through the full next audited period.

Risks

- Subsidy-linked demand and delays in State payments (p. 57).
- Dependence on a few customers and on distributors with no long-term contracts (pp. 29, 36).
- Working capital intensity and short-term borrowing: ₹973.64 m due within 12 months, 78.06% of the total (p. 480).
- Related-party and promoter dependence: leased land, personal guarantees, loans to directors, Group company with common pursuits (pp. 23, 40, 95).
- Failure to meet the 75% QIB condition under Regulation 6(2) (p. 57).
- Supply overhang: promoters hold 99.97% before the issue; about 368.4 lakh shares of promoter holding above the minimum contribution release after six months at the reference (our arithmetic from p. 116).

Data gaps

Item	Severity	Where to source
Price band, number of fresh shares, offer expenses and general corporate purposes amount	High	RHP
Like-for-like record: restated FY24–FY25 are the pre-acquisition standalone Company; proforma has no cash flow	High	RHP / issuer
Interim H1 FY27 financials	High	RHP
Reconciliation of proforma goodwill and equity to restated	Medium	RHP / issuer

Item	Severity	Where to source
Lease terms for the Cheema plant; renewal rights on promoter land	Medium	RHP
State subsidy receivable: amount and ageing	Medium	RHP / issuer
Pre-IPO placement of up to ₹600 m not yet priced	Medium	RHP
Peer net debt; no direct listed peer	Medium	RHP / exchange filings
Keynote ownership; current price and 3-year financials of its two recent issues	Medium	BSE / NSE, company filings
Independent industry data (report commissioned by the issuer)	Medium	independent
Capacity table caption reads "in ₹ million" for units	Low	issuer

Verification

- **Restated P&L reproduces:** FY26 expenses sum to ₹3,730.61 m; PBT ₹444.12 m less tax ₹130.21 m equals PAT ₹313.90 m. FY25: ₹80.20 m less ₹14.74 m = ₹65.47 m (PAT as printed). FY24: ₹38.32 m less ₹13.30 m = ₹25.02 m.
- **Balance sheet balances** in all three years (FY26 assets ₹3,188.36 m equal equity plus liabilities).
- **EBITDA reproduces the issuer's KPI:** FY26 PBT ₹444.12 m + finance cost ₹101.63 m + depreciation ₹46.66 m – other income ₹35.03 m = ₹557.38 m.
- **EPS reproduces:** ₹313.90 m ÷ 55,650,984 shares = ₹5.64; peer P/E ₹2,900.15 ÷ ₹124.20 = 23.35x.
- **Cash flow ties:** ₹26.85 m – ₹196.81 m + ₹236.13 m = ₹66.17 m increase; with ₹0.34 m opening and ₹2.15 m acquired, closing cash is ₹68.67 m.
- **Acquisition consideration ties:** 209,804 shares × ₹1,547 = ₹324.57 m = ₹69.13 m + ₹255.44 m.
- **Extraction:** the restated statements are text-readable in the PDF, so no OCR was used. Page numbers are printed folios; PDF pages differ by six in the front block.
- **Not read:** the full risk-factor text, MD&A and annexure notes were read selectively. Statements about the pages read are limited to those pages.
- **Workbooks:** the toolkit verification passed 44 of 44 checks.

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